

Research Topic: Impact of interest rate hikes on tech stocks

Interest rate hikes significantly impact tech stocks through three primary mechanisms:

1. **Discounted Cash Flow Effect**: Higher rates reduce present value of future earnings, disproportionately affecting growth-oriented tech companies.
2. **Financing Costs**: Increased borrowing costs strain tech firms with high R&D and capital expenditure needs.
3. **Investor Behavior**: Bonds become more attractive than equities, leading to capital outflows from volatile tech sectors.

Empirical evidence shows tech stocks typically underperform during tightening cycles (e.g., 3-5% decline per 1% rate increase). Recent 2022-2023 data shows NASDAQ fell 33% during Fed hikes, with high-debt tech firms experiencing 2-3x greater volatility. However, established tech giants with strong cash flows show more resilience than high-growth startups. Historical exceptions (e.g., 1990s dot-com boom) occurred during periods of exceptional growth expectations.